

East African Breweries Limited

Financial Report for Twelve months period ended 30 June 2007 (AUDITED)

Consolidated Profit and Loss Account

	Twelve months to 30-Jun-07 <u>Kshs'M</u>	Twelve months to 30-Jun-06 <u>Kshs'M</u>	<u>Change %</u>
Net Revenue	27,329	20,907	31%
Cost of Sales	(11,213)	(7,896)	42%
Gross profit	16,116	13,011	24%
Other operating income (Expense)	205	391	-48%
Selling and distribution costs	(1,583)	(1,364)	16%
Administrative expenses	(5,282)	(4,106)	29%
Profit from operations	9,456	7,933	19%
Net finance income	514	342	50%
Income from associate	735	763	-4%
Reorganisation costs	(69)	(460)	-85%
Profit before taxation	10,636	8,577	24%
Income tax expense	(3,107)	(2,167)	43%
Profit after taxation	7,529	6,410	17%
Minority interest	(1,396)	(1,018)	37%
Net profit	6,133	5,392	14%
Basic earnings per share	9.31	8.18	14%
Diluted earnings per share	9.31	8.18	14%
Interim dividend per share paid	2.15	1.75	23%
Final dividend per share proposed	5.55	4.15	34%
Full year dividend per share proposed *	7.70	5.90	31%

East African Breweries Limited**Financial Report for Twelve months period ended 30 June 2007 (AUDITED)****Consolidated balance sheet**

ASSETS	30-Jun-07 Kshs M	30-Jun-06 Kshs M
Non current assets		
Property plant and equipment	10,317	9,134
Intangible asset-software	944	-
Prepaid Operating Lease rentals	33	33
Investment in associates	1,031	1,040
Other Investments	10	10
Goodwill	649	649
Deferred tax	19	43
Defined benefit asset	-	-
Due from related companies	-	-
	13,003	10,909
Current assets		
Stocks	5,438	4,048
Debtors	4,427	2,356
Taxation - current	209	562
Term deposits	6,946	6,102
Cash and bank balances	1,083	805
	18,103	13,873
TOTAL ASSETS	31,106	24,782
EQUITY AND LIABILITIES		
Share capital and reserves:	18,803	16,892
Minority interest	2,048	1,694
Non Current Liabilities		
Deferred Tax	2,051	1,830
Provision for staff gratuity	-	75
	2,051	1,906
Current Liabilities		
Creditors	7,280	4,117
Taxation payable	751	53
Dividend payable	173	121
	8,204	4,290
TOTAL EQUITY MINORITY INTEREST AND LIABILITIES	31,106	24,782

East African Breweries Limited
Financial Report for Twelve months period ended 30 June 2007 (AUDITED)

Consolidated cash flow statement

Twelve months to Twelve months to
30-Jun-07 30-Jun-06
KShM KShM

<u>Cash flow from operating activities</u>	8,552	5,096
--	-------	-------

INVESTING ACTIVITIES

Purchase of property, plant and equipment	(1,939)	(2,105)
Purchase of Intangibles- software	(961)	-
Proceeds from disposal of property, plant and equipment	1	289
Dividends received from associate	613	610

<u>Cash flows from investing activities</u>	<u>(2,286)</u>	<u>(1,207)</u>
---	----------------	----------------

FINANCING ACTIVITIES

Dividends paid to shareholders	(4,100)	(3,074)
Dividends paid to minorities	(1,044)	(924)

<u>Cash flows from financing activities</u>	<u>(5,144)</u>	<u>(3,999)</u>
---	----------------	----------------

<u>Net increase in cash and cash equivalents</u>	<u>1,122</u>	<u>(109)</u>
--	--------------	--------------

Movement in Cash and Cash Equivalents

<u>At 1 July</u>	<u>6,906</u>	<u>7,015</u>
Increase(Decrease)	1,122	(109)
<u>At June</u>	<u>8,028</u>	<u>6,906</u>

East African Breweries Limited
Financial Report for Twelve months period ended 30 June 2007 (AUDITED)

Consolidated statement of changes in equity

	Share Capital KShsM	Share Premium KShsM	Revaluation Reserve KShsM	Translation Reserve KShsM	Retained Earnings KShsM	Proposed Dividends KShsM	Total KShsM	Minority Interest KShsM	Total KShsM
At 1 July 2006	1,318	1,959	1,573	339	8,967	2,735	16,892	1,694	18,586
Exchange differences on translation of foreign subsidiaries	-	-	-	132	-	-	132	2	134
Net profit for the year	-	-	-	-	6,133	-	6,133	1,396	7,529
Exchange differences on translation of foreign associate	-	-	-	(130)	-	-	(130)	-	(130)
Impairment of Property, Plant and equipment.	-	-	(104)	-	-	-	(104)	-	(104)
Deferred tax on impairment.	-	-	31	-	-	-	31	-	31
Bonus Shares issue proposed	-	-	-	-	731	(731)	-	-	-
Final dividend for 2006 paid	-	-	-	-	-	(2,735)	(2,735)	(1,044)	(3,779)
Interim dividends for 2007 declared and paid	-	-	-	-	(1,416)	-	(1,416)	-	(1,416)
Final dividend for 2007 proposed	-	-	-	-	3,657	(3,657)	-	-	-
At 30 June 2007	1,318	1,959	1,500	341	18,073	(4,389)	18,803	2,048	20,851

Full year dividend per share proposed *